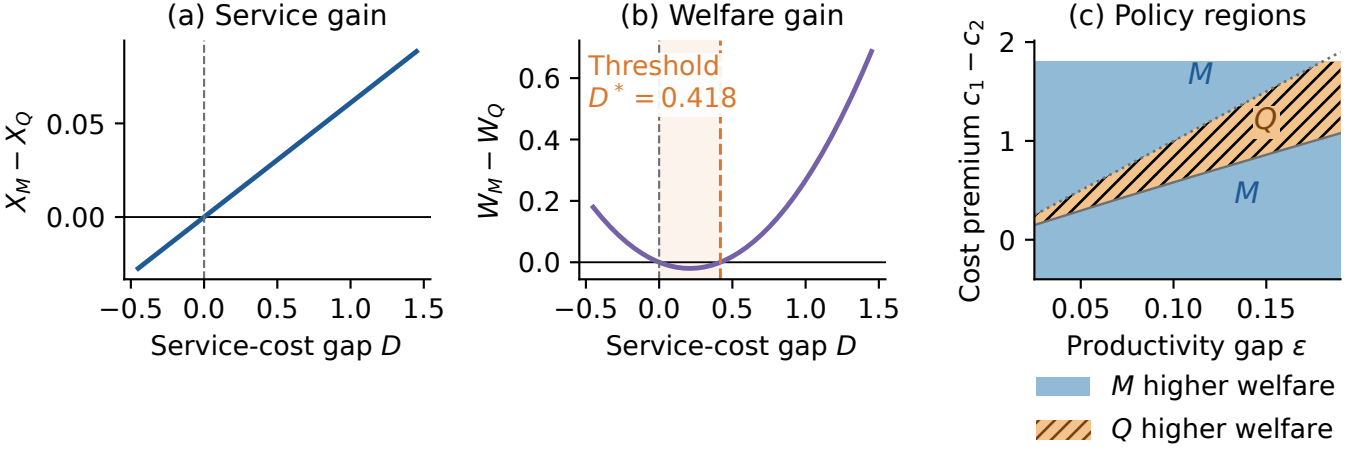
(a) Service gain
$X_M - X_Q$
0.05
0.00
−0.5
0.0
0.5
1.0
1.5
Service-cost gap $D$
(b) Welfare gain
$W_M - W_Q$
Threshold
$D^* = 0.418$
0.6
0.4
0.2
0.0
−0.5
0.0
0.5
1.0
1.5
Service-cost gap $D$
(c) Policy regions
Cost premium $c_1 - c_2$
2
1
0
$M$
$Q$
$M$
0.05
0.10
0.15
Productivity gap $\varepsilon$
$M$ higher welfare
$Q$ higher welfare